Vermont (:)

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B2Tech · via Merlin

THE ONE-LINE VERDICT

Vermont is a tiny, closed, mobile-only sports-betting market: September 2026 handle of $19.76m (-1% YoY) produced $1.71m of adjusted gross sports wagering revenue (AGR) on an 8.66% adjusted hold and $542,813 for the state at a 31.7% blended revenue share. Thirty-two months after launch, handle growth has stalled and revenue is now hold-driven rather than volume-driven; with only three state-contracted operators and no open licensing route, the market is an option on a future re-procurement rather than an addressable entry today.

HANDLE (ONLINE, SEP-26)	ADJ. GROSS SPORTS WAGERING REVENUE	STATE REVENUE SHARE	ACTIVE USERS	BETS / AVERAGE STAKE	CONTRACTED OPERATORS
$19.76m	**$1.71m**	**$542,813**	**23,795**	**770,857 / $25.63**	**3**
-1% YoY (Gaming Intelligence); 100% mobile	Double-digit YoY growth (GI); adjusted hold 8.66%	31.7% of AGR; double-digit YoY (implied)	45.6% out-of-state accounts; YoY n/a	~25.7k bets per day; in-state avg $22.31 vs out-of-state $37.65	DraftKings, FanDuel, Fanatics; statute permits 2–6

1 EXECUTIVE SUMMARY

- **Market definition — online sports betting is the only regulated commercial gambling vertical.** Vermont has no commercial or tribal casinos, no retail sportsbooks and no iGaming; the Department of Liquor and Lottery (DLL) runs the state lottery and administers mobile sports wagering, which launched on 11 January 2024 under legislation signed in June 2023. Online penetration of sports betting is therefore 100% by construction.
- **September 2026 handle $19,758,552, -1% YoY.** The DLL summary report shows handle of $19.76m against winning payouts of $17.84m; Gaming Intelligence puts the decline at 1% YoY, implying September 2025 handle of roughly $19.96m. September is the first NFL month, so a flat print is a meaningful signal that volume growth has plateaued.
- **Revenue up double digits on a better hold.** Adjusted gross sports wagering revenue (AGR — handle less payouts, voids/resettlements, federal excise and promotional deductions) was $1,710,695, an adjusted hold of 8.66% (gross hold before deductions 9.73%). Gaming Intelligence characterises the YoY revenue increase as double-digit, which implies a September 2025 AGR of no more than ~$1.56m and a hold of ≤7.8% a year earlier.
- **State take $542,813 at a 31.7% blended revenue share.** Vermont does not levy a conventional tax; operators remit a contractually bid percentage of AGR. The report's 31.7% blended rate yields $542,813 for September, leaving operators a combined $1.17m before their own costs. The 0.25% federal excise on handle (~$49k) sits inside the deductions line.
- **Deductions are small — ~1.07% of handle.** The $211,718 of resettlements, voids, federal tax and promotional credits deducted equals 1.07% of handle; net of the federal excise, voids and promo together are only ~0.8% of handle (estimate). This indicates low promotional intensity in a mature, three-operator market and limited erosion of the state's base.
- **Football already 35% of handle; 'All Other' a third.** Football $6.89m (34.9%), baseball $2.94m (14.9%), table tennis $1.28m (6.5%), soccer $1.17m (5.9%), tennis $0.89m (4.5%), with $6.58m (33.3%) in all other categories (likely parlays/multi-sport, basketball, golf, combat sports — the DLL does not itemise).
- **Bettor base: 23,795 actives placed 770,857 bets at $25.63 average.** In-state accounts: 12,934 actives, 603,879 bets, $13.47m handle (68.2%), $22.31 average bet, ~$1,042 handle per active. Out-of-state accounts: 10,861 actives, 166,978 bets, $6.29m (31.8%), $37.65 average bet, ~$579 per active. AGR per active ~$72; state share per active ~$23.
- **Cross-border demand is structural, not seasonal.** Out-of-state accounts contributed 31.8% of September 2026 handle; in August 2024 the equivalent split was $3.5m of $11.3m (~31%). Visitors (foliage, ski and border-county traffic from NH, NY, MA and Québec) bet fewer, larger tickets. Any entrant's Vermont P&L is partly a tourism P&L.
- **Annual trajectory: 2025 handle +18.3%, state share +14.3%.** DLL data reported by WCAX: handle $235,089,458 in CY2025 vs $198,754,297 in CY2024; state revenue $7,252,813 vs $6,346,073. Implied AGR ~$22.9m (CY2025) vs ~$20.0m (CY2024) at the ~31.7% blended rate (estimates); implied hold slipped from ~10.1% to ~9.7%. September 2026 equals 8.4% of CY2025 handle.
- **Licensing is a procurement, not an open regime.** The statute allowed two to six operators; five bid in 2023 and the Board of Liquor and Lottery selected three — DraftKings, FanDuel and Fanatics — while BetMGM and PENN's ESPN Bet (now theScore Bet) were excluded. There is no application window; entry requires the DLL to run a new RFP or an incumbent to exit. Initial contract term reported at launch as three years [unverified this cycle] — if so, the first renewal/re-bid window falls around January 2027.
- **Revenue-share bids reported at launch: FanDuel 33%, DraftKings and Fanatics 31%, statutory floor 20%, plus an annual operator fee of $550,000 per operator [parameters unverified this cycle; consistent with the 31.7% blended rate the DLL reports].** Effective burden (31–33% of AGR + 0.25% of handle federal excise) is among the higher US state regimes outside the 51% monopoly states (NY, NH, RI).
- **Consumer rules: 21+, in-state geolocation, no betting on collegiate events in Vermont or involving Vermont colleges (e.g., UVM).** Retail wagering is not permitted. The DLL operates a public player-complaint channel and a statewide self-exclusion programme; the Department of Mental Health runs problem-gambling services funded in part from wagering revenue and reports rising 1-800-GAMBLER utilisation.
- **Payments follow the US mobile model** — ACH/online banking, debit cards and e-wallets (PayPal/Venmo/Apple Pay) and prepaid cards; credit-card funding is prohibited under DLL rules [unverified this cycle]. No mobile-money layer; KYC/SSN requirements effectively exclude Canadian visitors despite proximity to Québec.

- **Advertising is rule-based rather than prescriptive on volumes:** no targeting of under-21s or college campuses, mandatory responsible-gambling messaging and hotline, and DLL oversight of promotional terms [unverified this cycle]. The low promo deduction (~0.8% of handle) suggests the market has moved past acquisition-heavy spending.
- **Political direction: incremental digital expansion, with audible scepticism.** The 2026 session considered H.669 to authorise online lottery sales (Commissioner Wendy Knight projected $2.5m incremental in year one rising to ~$10m, roughly a 30% uplift on current lottery proceeds), with retailer revenue-sharing to be set; some legislators continue to frame gambling as a regressive tax. No iGaming bill has advanced [to the best of our review this cycle]. H.669's final status after the session is n/a — not verified.
- **Fiscal performance versus expectation is on-target, not exceptional.** The state was told to expect up to $7m in the first full year; it received $6.35m in 2024 and $7.25m in 2025. September 2026 annualised (×12, no seasonality adjustment) would be $6.5m — the run-rate is flat-to-slightly-below 2025 unless Q4 NFL/NBA months outperform.
- **Read-through for B2Tech: a watch-list market, not an entry target.** Addressable AGR is ~$20–25m a year split three ways; a fourth operator at a 20–33% revenue share plus a $550k fee would need ~$3–4m of AGR (12–15% share) just to cover fee and marketing. The only credible route is a competitively priced bid in a future RFP, a B2B supply relationship, or participation in an iLottery/iGaming expansion should the legislature move.
- **Data confidence is medium.** September 2026 figures are verified from the regulator's own PDF; YoY deltas rely on Gaming Intelligence; the August 2026 and September 2025 DLL PDFs were not retrieved this cycle, so MoM comparisons are n/a and statutory parameters are flagged where not re-read.

2 MARKET SUMMARY

VERMONT — US $ (MARKET REPORTS IN USD)	SEP-26	YOY	CY2025	CY2024	CY YOY
VOLUME & REVENUE (ONLINE SPORTS BETTING = 100% OF REGULATED COMMERCIAL GAMBLING)					
Handle (stakes), online	**$19,758,552**	**-1% (GI)**	**$235,089,458**	**$198,754,297**	**+18.3%**
Winning payouts	$17,836,139	n/a	n/a	n/a	n/a
Gross win before deductions (gross hold)	$1,922,413 (9.73%)	n/a	n/a	n/a	n/a
Less: resettlements, voids, federal excise, promo	$211,718 (1.07% of handle)	n/a	n/a	n/a	n/a
Adjusted gross sports wagering revenue (AGR) CY AGR estimated as state share ÷ 31.7% blended rate; DLL year-end AGR not retrieved this cycle.	**$1,710,695**	**+double-digit (GI)**	**~$22.9m (est.)**	**~$20.0m (est.)**	**~+14% (est.)**
Adjusted hold (AGR ÷ handle)	8.66%	up (implied)	~9.7% (est.)	~10.1% (est.)	down
Retail sportsbook / casino / iGaming GGR	nil — not permitted	—	nil	nil	—
Online penetration of sports betting	100%	—	100%	100%	—
FISCAL TAKE					
State revenue share (contractual % of AGR)	**$542,813**	**+double-digit (implied)**	**$7,252,813**	**$6,346,073**	**+14.3%**
Blended revenue-share rate	31.7%	flat	~31.7%	~31.7%	flat
Federal excise (0.25% of handle, inside deductions)	~$49,400 (est.)	n/a	~$588k (est.)	~$497k (est.)	n/a
Operator net after state share (pre-costs)	$1,167,882	n/a	~$15.6m (est.)	~$13.7m (est.)	n/a
PLAYERS & ACTIVITY					
Active users (in-state / out-of-state)	23,795 (12,934 / 10,861)	n/a	n/a	n/a	n/a
Number of bets	770,857	n/a	n/a	n/a	n/a
Average bet	$25.63	n/a	n/a	n/a	n/a
Out-of-state share of handle	31.8%	≈ stable vs ~31% in Aug-24	n/a	n/a	n/a
LICENSING & TAX PARAMETERS					
Contracted operators (statutory range 2–6)	3	unch.	3	3	—
Revenue share by operator (bid)	FanDuel 33% / DraftKings 31% / Fanatics 31% [unverified this cycle]	—	same	same	—
Statutory minimum revenue share	20% of AGR [unverified this cycle]	—	—	—	—
Annual operator fee	$550,000 per operator [unverified this cycle]	—	—	—	—
Tax base	AGR (net of winnings, voids, federal excise, promo) — not turnover	—	—	—	—

3 DEEP-DIVE — ONLINE SPORTS BETTING — SEPTEMBER 2026 RESULT

Flat handle, better hold: $19.76m staked (-1% YoY) yielded $1.71m AGR at 8.66% and $0.54m for the state.

SEPTEMBER HEADLINE FIGURES

Handle of $19,758,552 (-1% YoY) produced AGR of $1,710,695 at 8.66% adjusted hold; revenue growth was entirely margin, not volume.

- Winning payouts $17,836,139; resettlements, voids, federal tax and promotional deductions $211,718.
- Gross hold before deductions 9.73%; adjusted hold 8.66%.
- State share at the reported 31.7% blended rate was $542,813.
- Gaming Intelligence reports handle down 1% YoY with double-digit revenue growth, implying September 2025 handle ~$19.96m and AGR no more than ~$1.56m (hold ≤7.8%).

SEASONAL RAMP STALLING

September, the first full NFL month, merely matched the prior year, so the autumn ramp is no longer compounding.

- 2024 summer trough: July handle $9.5m, August $11.3m.
- CY2025 handle $235.1m (+18.3% on 2024); September 2026 equals 8.4% of last year's annual total.
- Consistent with annual growth decelerating from high-teens toward low single digits.

SPORT MIX

Football took $6,887,402 (34.9%) of handle; table tennis ranking third points to a meaningful in-play, low-ticket volume segment.

- Baseball $2,940,769 (14.9%), table tennis $1,280,933 (6.5%), soccer $1,173,038 (5.9%), tennis $893,941 (4.5%).
- Residual $6,582,469 (33.3%) is unitemised.
- Football's share will rise sharply in October–December, when full-year hold and revenue are decided.

DEDUCTIONS AND PROMOTIONS

Deductions beyond the ~$49k federal excise are only ~$162k (0.82% of handle), so the state's 31.7% applies to near-true gross win.

- Federal excise at 0.25% of handle is ~$49k.
- States allowing uncapped promo deductions routinely see 2–4% of handle netted out in NFL months.
- Either Vermont's contracts cap promotional deductions or the three incumbents have cut bonusing to maintenance level.
- An entrant should not plan on sheltering acquisition spend from the revenue share.

OPERATOR ECONOMICS

Operators retained $1.17m of AGR across three brands, ~$390k per operator per month before costs; a standalone P&L would not clear cost of capital.

- Per-operator figure is before platform, marketing, payments and the share of the annual operator fee.
- At that scale Vermont is run as an incremental skin on national platforms.

US $ — SEP-26 (DLL SUMMARY REPORT)	SEP-26	% OF HANDLE	YOY
Handle receipts	**$19,758,552**	**100.0%**	**-1% (GI)**
Winning payouts	$17,836,139	90.27%	n/a
Gross win (pre-deductions)	$1,922,413	9.73%	n/a
Resettlements, voids, federal excise, promo	$211,718	1.07%	n/a
of which federal excise 0.25% (est.)	~$49,400	0.25%	n/a
of which voids/resettlements/promo (est.)	~$162,300	0.82%	n/a
Adjusted gross sports wagering revenue	**$1,710,695**	**8.66%**	**+double-digit (GI)**
State revenue share (31.7%)	**$542,813**	**2.75%**	**+double-digit (implied)**
Operator net after state share	$1,167,882	5.91%	n/a
HANDLE BY SPORT			
#1 Football	$6,887,402	34.9%	n/a
#2 Baseball	$2,940,769	14.9%	n/a
#3 Table tennis	$1,280,933	6.5%	n/a
#4 Soccer	$1,173,038	5.9%	n/a
#5 Tennis	$893,941	4.5%	n/a
All other	$6,582,469	33.3%	n/a
Reference: Aug-24 handle / AGR / state share	$11.3m / $856,707 / $273,126	hold 7.6%	InterGame citing DLL
Reference: Feb-24 (first full month) handle / state share	$21.2m / $731,874	—	InterGame citing DLL

4 DEEP-DIVE — BETTOR BASE & CROSS-BORDER DEMAND

23,795 actives — nearly half out-of-state by account — with in-state players supplying 68% of handle and 78% of bets.

RESIDENT VS VISITOR ACTIVITY

23,795 actives split 12,934 in-state (68.2% of handle) and 10,861 out-of-state (31.8%); residents are habitual, visitors occasional but stake larger.

- In-state: 603,879 bets worth $13,472,073 at $22.31 average; out-of-state: 166,978 bets worth $6,286,479 at $37.65.
- Handle per active ~$1,042 in-state against ~$579 out-of-state; bets per active 46.7 versus 15.4.
- Total AGR per active ~$72 and state share per active ~$23.

PENETRATION

Resident actives equal ~2.6% monthly penetration of a ~500,000 adult (21+) population (estimate), low for a third-NFL-season US mobile market.

- Consistent with Vermont's older demographic profile and the absence of a professional sports franchise.
- Ceiling on resident growth is structural; incremental handle must come from frequency, ticket size, or visitors.

CROSS-BORDER DEMAND

Out-of-state demand is a constant feature: August 2024 showed ~31% non-resident handle ($3.5m of $11.3m), almost identical to September 2026's 31.8%.

- Mix should rise in October (foliage season) and January–March (ski season).
- New Hampshire is a DraftKings monopoly; Massachusetts and New York are mature multi-operator states; Québec residents largely cannot pass US KYC.
- Brand strength in Boston and New York metro markets is partly transferable to Vermont volumes.

PRODUCT AND MARGIN STRATEGY

Average stake of $25.63 and ~25,700 bets per day indicate a recreational, parlay-leaning base, with operators lifting margin via product mix rather than price.

- Adjusted hold moved from ≤7.8% to 8.66% YoY on flat handle.
- Mix levers are same-game parlays and in-play micro-markets such as table tennis.
- Rational in a three-operator market where the revenue share makes promotional spending expensive.

GROWTH OUTLOOK

We estimate a market of ~$230–250m handle and ~$21–25m AGR a year for the next two years — a profitable incremental skin, not outlook-changing.

- Resident penetration ~2.6% rising slowly; visitor handle tracking tourism; hold drifting up with parlay mix.

US $ — SEP-26 PLAYER METRICS (DLL SUMMARY REPORT)	IN-STATE	OUT-OF-STATE	TOTAL
Handle	**$13,472,073**	**$6,286,479**	**$19,758,552**
Share of handle	68.2%	31.8%	100%
Active users	**12,934**	**10,861**	**23,795**
Share of actives	54.4%	45.6%	100%
Number of bets	603,879	166,978	770,857
Share of bets	78.3%	21.7%	100%
Average bet	$22.31	$37.65	$25.63
Handle per active (month)	~$1,042	~$579	~$830
Bets per active (month)	46.7	15.4	32.4
AGR per active (month)	n/a	n/a	~$71.9
State share per active (month)	n/a	n/a	~$22.8
Resident monthly penetration of ~500k adults 21+ (est.)	~2.6%	—	—
Reference: Aug-24 handle split	$7.8m (69%)	$3.5m (31%)	$11.3m

5 DEEP-DIVE — LICENSING & MARKET STRUCTURE

A closed, state-contracted model: three operators chosen by RFP from five bidders, no open licence window, entry only via re-procurement.

CONTRACTED OPERATOR MODEL

H.127 (enacted June 2023) lets the DLL contract with between two and six operators via RFP; three were chosen from five bidders and launched 11 January 2024.

- Board selected DraftKings, FanDuel and Fanatics Sportsbook; BetMGM and PENN's ESPN Bet (since rebranded theScore Bet) were not selected.
- No open licence window; entry only via re-procurement.

COMMERCIAL TERMS

Winning revenue-share bids were reported as 33% (FanDuel) and 31% (DraftKings and Fanatics) against a 20% statutory floor, plus a $550,000 annual fee.

- Parameters unverified this cycle; the DLL's 31.7% blended rate is consistent with this mix.
- Initial contract term reported as three years [unverified]; first renewal or re-bid decision falls around January 2027.
- The 2027 window is the single most important calendar item for any prospective entrant.

NO RETAIL TETHER

Retail wagering is not authorised, so there is no casino partner requirement or market-access fee; the state captures the rent a casino licensee would.

- No commercial or tribal casinos, no racetracks; Vermont Lottery is state-operated through retailers.
- Daily fantasy sports is separately regulated through registration [unverified this cycle].

CONSUMER LICENCE CONDITIONS

Conditions are standard for the region: 21+, geofenced in-state wagering, and bans on Vermont collegiate events and teams.

- Wagering prohibited on collegiate events held in Vermont and on Vermont college teams such as UVM.
- Complaints routed to the DLL via a public online form.
- Operators must participate in the DLL self-exclusion programme and provide account limit tools.

IMPLICATION FOR B2TECH

The implication is binary: no B2C path outside an RFP, so B2B platform/trading supply is the realistic entry, not a fourth consumer skin.

- Incumbents are national scale leaders with the deepest New England and New York customer bases.
- A credible bid would need to beat 31–33% revenue share or offer differentiated state value (higher share, product safeguards, local hiring).
- Watch the 2027 procurement window.

VERMONT LICENSING PARAMETERS	VERMONT	STATUS / SOURCE
Regulator	Department of Liquor and Lottery (DLL) / Board of Liquor and Lottery	Primary — DLL reports; Commissioner Wendy Knight; Director of Sports Wagering Joshua Sumner
Enabling law	H.127 (Act of 2023), signed June 2023	LSR; WCAX
Launch date	11 January 2024	LSR; WCAX
Channel	Mobile/online only; retail not permitted	LSR
Licence model	Competitive RFP; state contracts with operators	LSR
Statutory operator range	2–6	LSR
Bidders / selected	5 bid / 3 selected	LSR
Contracted operators	**DraftKings, FanDuel, Fanatics Sportsbook**	**LSR; WCAX; DLL**
Excluded bidders	BetMGM; PENN ESPN Bet (now theScore Bet)	LSR
Revenue share bids	FanDuel 33%; DraftKings 31%; Fanatics 31%	[unverified this cycle]; consistent with 31.7% blended
Statutory minimum share	20% of AGR	[unverified this cycle]
Annual operator fee	$550,000 per operator	[unverified this cycle]
Initial contract term	3 years from Jan-24 (renewal window ~Jan-27)	[unverified this cycle]
Minimum age	21	LSR; WCAX
Collegiate restrictions	No wagers on Vermont college teams or collegiate events in Vermont	LSR; WCAX
Casinos / racetracks / iGaming	None / none / not legal	Market structure

6 DEEP-DIVE — REVENUE-SHARE (TAX) REGIME & FISCAL TAKE

A 31.7% blended share of AGR plus 0.25% federal excise on handle: $7.25m to the state in CY2025, $542,813 in September 2026.

MECHANISM

Vermont levies a contractual 31–33% share of AGR (31.7% blended), not a turnover or statutory GGR tax; September yielded $542,813 on $1,710,695 AGR.

- AGR is handle less winnings, voided or resettled wagers, the 0.25% federal excise and permitted promotional credits.
- Federal excise (~$49,400 in September) is paid in addition by operators and netted out of the base.

FISCAL TRAJECTORY

State take was $6,346,073 in CY2024 and $7,252,813 in CY2025 (+14.3%), matching the up-to-$7m launch forecast; CY2026 modelled ~$6.8–7.8m, roughly flat.

- Handle $198.8m in CY2024 and $235.1m in CY2025.
- Implied AGR ~$20.0m and ~$22.9m, with implied hold easing from ~10.1% to ~9.7% after an operator-favourable January 2024.
- Straight ×12 of September 2026 gives ~$6.5m; stronger Q4 football months lift the estimate.

US COMPARISON

The burden is high but not punitive: below 51% in New York, New Hampshire and Rhode Island, in line with Pennsylvania (36%).

- Above Massachusetts (20%), Maine (10%) and New Jersey (19.75% from July 2025); broadly in line with Illinois' upper tiers (rates not re-verified).
- With limited promo shelter, Vermont's share is closer to a 'true GGR' rate than headline rates elsewhere.

ALLOCATION AND LEGISLATIVE RISK

Revenue goes first to DLL administration, then $250,000 a year to Mental Health [unverified], balance to the General Fund; no rate-rise appetite surfaced.

- Per-wager fee as in Illinois (2025) has not surfaced in our review.
- More likely fiscal lever is a re-bid inviting higher revenue-share offers.

OPERATOR MODELLING

All-in state and federal burden approaches ~37% of AGR before platform and payments; only a high-hold parlay-led product makes that stack work.

- Treat Vermont as a ~32% GGR-tax market with minimal promo relief.
- Federal excise 0.25% of handle ≈ 2.9% of AGR at 8.7% hold; fixed $550k fee ≈ 2.4% of CY2025 market AGR per operator.

US $ — FISCAL PARAMETERS AND TAKE	RATE / AMOUNT	BASE	NOTE
Revenue share — FanDuel	33%	AGR	bid at 2023 RFP [unverified this cycle]
Revenue share — DraftKings	31%	AGR	bid at 2023 RFP [unverified this cycle]
Revenue share — Fanatics	31%	AGR	bid at 2023 RFP [unverified this cycle]
Blended rate, Sep-26	**31.7%**	**AGR**	**DLL summary report**
Statutory minimum share	20%	AGR	[unverified this cycle]
Federal excise	0.25%	Handle	deducted before AGR; ~$49k in Sep-26
Annual operator fee	$550,000	per operator	[unverified this cycle]
State share — Sep-26	**$542,813**	**31.7% × $1,710,695**	**DLL**
State share — CY2025	**$7,252,813**	**+14.3% YoY**	**DLL via WCAX**
State share — CY2024	$6,346,073	first year (from 11 Jan)	DLL via WCAX
Launch forecast, first full year	up to $7m	—	WCAX, Jan-24
State share — CY2026E (model)	~$6.8–7.8m	estimate	Sep-26 run-rate + Q4 seasonality; low confidence
Problem-gambling appropriation	$250,000 p.a.	from wagering revenue	[unverified this cycle]
Context: NY / NH / RI	51%	GGR	not re-verified this cycle
Context: MA / ME / NJ	20% / 10% / 19.75%	GGR	not re-verified this cycle

7 DEEP-DIVE — PAYMENTS, RESPONSIBLE GAMBLING & ADVERTISING

Standard US mobile rails and rule-based consumer protections; rising helpline use is the political soft spot.

PAYMENT RAILS

Standard US mobile funding with no cash channel makes payment cost small and predictable, but KYC/SSN rules exclude Québec visitors.

- ACH/online banking, debit cards, PayPal/Venmo-type e-wallets, Apple Pay and prepaid Play+ cards; withdrawals to bank or e-wallet.
- Credit-card deposits prohibited under DLL rules [unverified], alongside Massachusetts, Iowa and Tennessee.
- Cross-border upside capped at US visitors.

GEOLOCATION AND TRANSPARENCY

Players must be 21+, verified and physically in Vermont; the 10,861 out-of-state actives are visitors wagering in-state, not remote play.

- DLL maintains a public complaint form and publishes monthly reports within ~two weeks (September PDF dated 15 October 2026).
- Transparency standard better than many larger states.

RESPONSIBLE GAMBLING

Self-exclusion, mandatory limit tools and 1-800-GAMBLER are funded by ~$250,000 a year [unverified]; rising helpline use is the political soft spot.

- Services delivered through the Department of Mental Health.
- DMH's medical director has publicly noted a clear increase in helpline and website utilisation since launch, framed as awareness.
- Opponents will cite this when expansion bills (H.669 online lottery; any future iGaming) return.

ADVERTISING RULES

Rules are principles-based, not volume-capped, and the ~0.8% deductions line shows incumbents are no longer buying share.

- No marketing to under-21s or on campuses; mandatory RG messaging and helpline; no 'risk-free' framing; DLL authority over promo terms [unverified].
- An entrant's heavy bonusing would be conspicuous and expensive at a 31–33% share.

ENFORCEMENT AND LEAKAGE RISK

No published DLL penalties found; the emerging risk is competitive leakage to prediction markets and sweepstakes products bearing no state share.

- Enforcement to date administrative rather than headline-grabbing.
- Federally regulated sports event contracts and sweepstakes-style products reach the same phones — a direct leak from a mobile-only state.
- Whether the Attorney General or DLL has acted was not verifiable this cycle.

RULES & METRICS	RULE / METRIC	STATUS
Deposit methods	ACH/online banking, debit, PayPal/Venmo, Apple Pay, prepaid	Standard US mobile model
Credit-card deposits	Prohibited	[unverified this cycle]
Cash / retail channel	None — no retail wagering	LSR
Geolocation	Must be physically in Vermont per wager	LSR; WCAX
Minimum age / KYC	21+, identity-verified	LSR; WCAX
Self-exclusion	Statewide voluntary programme via DLL	Framework; detail unverified this cycle
Helpline	1-800-GAMBLER; DMH reports rising use	WCAX, Jan-26
Problem-gambling funding	Fixed appropriation (~$250k p.a.)	[unverified this cycle]
Advertising	No under-21/campus targeting; RG messaging mandatory	[unverified this cycle]
Promo + voids deducted, Sep-26 (est.)	**~$162k ≈ 0.82% of handle**	**DLL deductions line less 0.25% excise**
Player complaints	Public DLL online complaint form	DLL monthly-reports page
Report cadence	Monthly PDF, ~2 weeks after month-end	DLL (Sep-26 PDF dated 15 Oct 2026)
Published enforcement actions vs operators	None found this cycle	n/a

8 DEEP-DIVE — RETAIL, LOTTERY & ADJACENT VERTICALS

No casinos, no retail books, no iGaming — the only expansion live is an online-lottery bill worth ~$2.5m rising to ~$10m a year to the state.

LAND-BASED LANDSCAPE

Vermont has no casino, racetrack or retail sportsbook, so retail GGR is nil and the fiscal base is lottery transfers plus $7.25m sports-wagering share (CY2025).

- Land-based gambling limited to the state lottery through retailers and charitable gaming by nonprofits.

ONLINE LOTTERY BILL H.669

H.669 would let the DLL-run lottery sell online, projected at $2.5m year-one proceeds rising to ~$10m, nearly a 30% increase.

- Implies current net lottery proceeds in the mid-$30m range (derived estimate).
- Retailers would keep a share of online sales under a formula yet to be set.
- Legislators raised access and youth exposure concerns; final status not verifiable this cycle.

> *"modernise the lottery and secure its sustainability"* — **Commissioner Wendy Knight**

IGAMING OUTLOOK

We see no realistic path to online casino before 2028 given legislative tone, including members calling gambling revenue a tax on the less well-off.

- iLottery authorisation would create DLL procurement opportunities for platform, content and payments suppliers.
- That is where a B2B-capable operator could participate without a B2C licence.

DFS AND UNREGULATED ADJACENCIES

DFS is immaterial; unregulated event contracts and sweepstakes casinos compete for the same ~24,000 monthly actives without a state share.

- DFS regulated separately through registration [unverified this cycle].
- A few thousand players migrating would be visible in DLL data in a market this small.

PIPELINE ASSESSMENT

The only quantified opportunity is iLottery at ~$10m a year at maturity, DLL-controlled; the bill is mainly a sentiment indicator.

- If the legislature cannot pass online lottery for its own monopoly, it will not expand private online gambling.

ADJACENT VERTICALS	STATUS	FIGURE / NOTE
Retail sportsbooks	Not permitted	Retail GGR nil
Commercial / tribal casinos	None	No land-based gaming GGR
Racetracks / pari-mutuel	None active	—
iGaming (online casino)	Not legal; no bill advanced	No path before 2028 (view)
Vermont Lottery (DLL-run, retail)	Operating	Current net proceeds mid-$30m p.a. (derived estimate from WCAX '30%' statement)
H.669 online lottery (2026 session)	**Considered; outcome n/a this cycle**	**+$2.5m year one → ~$10m p.a. (state projection)**
Daily fantasy sports	Regulated via registration	[unverified this cycle]
Charitable gaming	Permitted for nonprofits	Immaterial
Prediction markets / sweepstakes	Unregulated at state level; accessible	Substitution risk; no Vermont action verified

9 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- Margin resilience: September AGR grew double digits YoY on a 1% handle decline as adjusted hold rose to 8.66% — the incumbents are monetising a stable base through parlay/in-play mix rather than price, which is the economic profile a high revenue-share market needs. mixed
- Structural visitor demand: out-of-state accounts supplied 31.8% of September handle ($6.29m) at a $37.65 average bet, unchanged from ~31% in August 2024; brand equity in Boston/New York metro converts directly into Vermont volume during foliage and ski seasons. structural
- Low promotional intensity: promo plus voids deducted were only ~0.8% of handle (estimate), implying a market past its acquisition phase — an operator with an efficient CRM model faces no bonus war. structural
- Transparent, timely regulator: the DLL publishes monthly handle, payouts, deductions, AGR, state share, sport mix and residency splits within ~two weeks of month-end, enabling precise market modelling. structural
- Statutory headroom for entry: the law permits up to six operators and only three are contracted; a 2027 renewal/re-bid window [term unverified] is the one realistic B2C entry point. watch
- Digital-lottery optionality: H.669 would create a DLL-run online channel worth ~$2.5m → ~$10m a year to the state, with platform, content and payments procurement that B2B-capable operators can address. early
- Clean structure: no casino tether, no market-access fee, no retail obligation — the state captures the rent directly, so an operator's cost stack is revenue share + fixed fee + federal excise, nothing hidden. structural

▼ LOWLIGHTS

- Closed market: licences are RFP contracts, not applications; BetMGM and PENN were rejected in 2023 and no window has opened since. Entry is at the DLL's discretion and timing. structural
- High effective take: 31–33% of AGR plus 0.25% of handle federal excise and a $550k annual fee [fee unverified this cycle] equals ~37% of AGR all-in — viable only as an incremental skin on a national platform. structural
- Sub-scale: ~$20–25m of annual AGR split three ways and ~24,000 monthly actives; a fourth operator at a 12–15% share would generate ~$3–4m of AGR a year, barely covering fee and marketing. structural
- Growth has stalled: September handle -1% YoY in the first NFL month after +18% in CY2025; resident penetration of ~2.6% of adults (estimate) and an older, franchise-less demographic cap volume upside. watch
- Political ambivalence: legislators openly frame gambling revenue as regressive, DMH reports rising helpline use, and even the state's own online-lottery bill drew access concerns — expansion to iGaming is improbable before 2028. governance
- Unregulated substitution: federally supervised sports event contracts and sweepstakes products reach a mobile-only state with zero revenue share; no Vermont enforcement against them was verifiable this cycle. watch
- Data gaps for this cycle: August 2026 and September 2025 DLL reports and the statutory text were not retrieved, so MoM trends and several licence/tax parameters are flagged [unverified]. one-off

10 FORECAST & OUTLOOK

Guidance bridge. The bridge from the CY2025 base to the CY2026 run-rate is flat volume and a firmer margin. CY2025 handle was $235.1m (+18.3%) and state share $7.25m (+14.3%); September 2026, the first NFL month, delivered $19.76m of handle (-1% YoY) but double-digit AGR growth as adjusted hold improved to 8.66%. Annualising September (×12) gives ~$237m handle and ~$6.5m state share; adding normal Q4 football seasonality, we model CY2026 state share of ~$6.8–7.8m (estimate) — roughly flat on 2025. The division driving the result is entirely mobile sports betting (there is no other regulated vertical); the moving parts are hold (up), handle (flat) and promo deductions (minimal).

CY2025 HANDLE / STATE SHARE (ACTUAL)	SEP-26 HANDLE	SEP-26 AGR / STATE SHARE	CY2026E STATE SHARE (MODEL)
$235.1m / $7.25m	**$19.76m**	**$1.71m / $0.54m**	**~$6.8–7.8m**
+18.3% / +14.3% YoY	-1% YoY (GI); 8.4% of CY2025 handle	double-digit YoY (GI); hold 8.66% vs ≤7.8% implied Sep-25	≈ -6% to +8% vs CY2025 (estimate, low confidence)

Independent view. Volume: a plateau, not a decline. We expect CY2026 handle of ~$230–245m (estimate), with Q4 2026 football months the swing factor; absent a new operator or product shock, 2027 handle growth is low single digits, driven by visitor traffic and frequency rather than new residents. **Margin: structurally higher.** Parlay and in-play mix should keep adjusted hold in an 8.5–9.5% band, so AGR of ~$21–24m a year (estimate) and state share of ~$6.7–7.6m is the base case — the state will see its sports-wagering revenue flatten just as it debates whether to take the lottery online. **Rules: no tax change, one procurement decision.** We see no appetite for a per-wager fee or a statutory rate change; the fiscal lever is the DLL's power to re-bid and invite higher revenue-share offers when the initial contracts come up (reported ~January 2027, unverified). The DLL could add a fourth operator at ≥31% if a credible bidder appears, but the economics for that bidder are marginal. **Expansion: iLottery possible, iGaming not.** Online lottery sales are the only digital expansion with a fiscal case (~$10m a year at maturity); the political framing of gambling as regressive and rising helpline use make iGaming unlikely in the 2027–2028 biennium. **For B2Tech:** Vermont is a monitor-and-bid market. Prepare a procurement-ready proposition (revenue share ≥33%, demonstrable RG tooling, New England brand reach or a B2B supply angle for iLottery) and track the contract window; do not model B2C revenue from Vermont before 2027.

What to watch next quarter:

- DLL contract renewal / re-procurement timing — confirm the initial term and whether the Board opens a fourth–sixth slot or renegotiates revenue shares (window reportedly ~Jan 2027; unverified).
- Q4 2026 monthly reports (Oct–Dec): whether handle turns positive YoY in peak football months or the September -1% becomes a sustained plateau; track adjusted hold vs the 8.5–9.5% band.
- H.669 online lottery — final status after the 2026 session and any 2027 reintroduction, retailer revenue-share formula, and platform/payments procurement by the DLL.
- Out-of-state handle share through foliage (Oct) and ski (Jan–Mar) seasons as a gauge of tourism-linked volume and of NH/NY/MA brand spill-over.
- Responsible-gambling indicators cited in Montpelier: self-exclusion enrolments, 1-800-GAMBLER volumes and DMH funding adequacy — the data that shape any expansion debate.
- State posture on sports event contracts (prediction markets) and sweepstakes products; any Attorney General or DLL action would signal protection of the revenue-share base.
- Promotional-deduction policy in the contracts: confirm whether promo credits are capped, since the ~0.8% of handle deducted materially affects the effective rate an entrant would pay.

DATA CONFIDENCE: MEDIUM September 2026 figures (handle, payouts, deductions, AGR, 31.7% blended rate, state share, sport mix, actives, bets, residency split) are verified directly from the DLL's primary PDF dated 15 Oct 2026. YoY deltas (-1% handle; 'double-digit' revenue growth) rest on Gaming Intelligence alone because the September 2025 and August 2026 DLL PDFs could not be retrieved this cycle — exact YoY and MoM figures are therefore n/a. CY2024/CY2025 handle and state share are DLL data as reported by WCAX (23 Jan 2026); CY AGR and hold are derived estimates at the 31.7% blended rate. Statutory/contract parameters marked [unverified this cycle] (operator-specific revenue shares 31–33%, 20% floor, $550,000 annual operator fee, three-year initial term, $250,000 problem-gambling appropriation, credit-card prohibition, advertising rules) were not re-read from the enabling act or DLL rules and should be confirmed before any commercial decision. Comparative US state tax rates are context from regime knowledge and were not re-verified. The 2026 modelled range is low confidence. FX: not applicable — Vermont reports in USD.

Sources: [Primary] Vermont DLL — Sports Wagering Summary Report, September 2026 (PDF dated 15 Oct 2026) — primary; [Primary] Vermont DLL — Monthly Sports Wagering Reports 2026 (index of Jan–Sep 2026 PDFs) — primary; [Primary] Vermont DLL — Monthly Reports hub (sports wagering, player complaint form) — primary; [Primary] Vermont DLL — Monthly Sports Wagering Reports 2025 (index) — primary; [Primary] Vermont DLL — Monthly Sports Wagering Reports 2024 (index) — primary; [Secondary] Gaming Intelligence, 19 Oct 2026 — 'Vermont sports handle slips to $19.8 million in September' (lead; paywalled beyond summary) — secondary; [Secondary] WCAX, 23 Jan 2026 — 'Vermont sports betting revenue jumps in 2nd year' (CY2024/CY2025 handle and state revenue, citing DLL; DMH helpline comments) — secondary; [Secondary] WCAX, 30 Jan 2026 — 'Would online lottery ticket sales pay off for Vermont taxpayers?' (H.669, $2.5m→$10m projection) — secondary; [Secondary] WCAX, 23 Jan 2026 — 'Vermont lawmakers consider online lottery bill' — secondary; [Secondary] WCAX, 11 Jan 2024 — 'Online sports betting in Vermont goes live' (launch, three operators, up-to-$7m first-year forecast, in-state college prohibition) — secondary; [Secondary] Legal Sports Report — Vermont sports betting page (2–6 operator statute, five bidders, three selected, BetMGM/ESPN Bet excluded, mobile-only, 21+, collegiate rule) — secondary; [Secondary] InterGame — 'Vermont sports betting revenue falls in August' (Aug 2024 handle $11.3m, revenue $856,707, state share $273,126; Feb/Jul 2024 comparatives; residency split) — secondary.

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